Meridian Mutual Insurance Company - FY2026 Annual Report

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Meridian Mutual is a policyholder-owned property and casualty insurer headquartered in Charlotte, North Carolina. It writes personal auto, homeowners, and small commercial coverage in 14 states across the Southeast and Mid-Atlantic.

Letter from the Chief Executive Officer

Fiscal year 2026 was the strongest year in Meridian Mutual's history. Chief Executive Officer Dana Whitfield highlighted record gross written premium and a return to underwriting profit.

Gross written premium grew 11.4% to $2.84 billion, driven by rate actions in personal auto and new small commercial business in Georgia and Tennessee.

The company returned $42 million to members as policyholder dividends.

Financial Highlights

Net income for FY2026 was $214 million, compared with $96 million in FY2025.

The combined ratio improved to 94.2% from 99.1% in the prior year. The loss ratio was 66.8% and the expense ratio was 27.4%.

Policyholder surplus ended the year at $3.1 billion. The investment portfolio returned 4.9%.

Metric	FY2026	FY2025
Gross written premium	$2.84B	$2.55B
Net income	$214M	$96M
Combined ratio	94.2%	99.1%
Policyholder surplus	$3.1B	$2.8B

Claims Operations

Meridian Mutual processed 412,000 claims in FY2026. Average claim cycle time fell from 14.2 days to 9.6 days after the rollout of automated first notice of loss intake.

Hurricane Delphine in September 2026 generated 18,300 claims and $167 million in net catastrophe losses.

Customer satisfaction with the claims experience reached a Net Promoter Score of 61.

Technology and Data Strategy

The company completed migration of its policy and claims data warehouse to a cloud data platform, retiring 37 legacy on-premise reporting jobs.

An AI-assisted document intake service now classifies and extracts data from 72% of incoming claim documents, with human review of every low-confidence extraction.

Technology investment totaled $118 million, or 4.2% of gross written premium.

Risk Management

The Enterprise Risk Committee meets quarterly and reports to the Board Audit and Risk Committee.

The company's catastrophe reinsurance program provides $900 million of protection above a $75 million retention for a single event.

Cyber risk is managed under a framework aligned to NIST CSF 2.0, with annual third-party penetration testing.

Workforce and Community

Meridian Mutual employed 3,450 people at fiscal year end, 38% of them in hybrid or remote roles.

Employees volunteered 21,000 hours, and the Meridian Foundation granted $6.5 million to community organizations focused on disaster preparedness and financial literacy.

Outlook for FY2027

Management targets gross written premium growth of 7% to 9% and a combined ratio between 95% and 96% in FY2027.

Planned initiatives include entry into Alabama and Kentucky, expansion of usage-based auto insurance, and a generative AI assistant for claims adjusters.